

MARKET CAP \$149.5B	EV / REVENUE 4.2x LTM	SHARE PRICE \$182.55
REVENUE \$11.13B Q1 FY27	FREE CASH FLOW \$6.6B Q1 FY27	
All trading data as of the 2026-06-08 US market close (yfinance; EV/Rev recomputed from last close × shares + net debt). Figures covering a different window are labeled individually.		

WHAT MATTERS

THESIS	Salesforce screens as the value name in large-cap software: the cheapest EV/Revenue in its megacap peer set (see live comps table) and ~12x forward earnings vs ServiceNow, Oracle and Microsoft at premium multiples. The whole debate is whether Agentforce re-accelerates growth before AI compresses the per-seat model.
KEY DEBATE	AI dis-intermediation of the seat model, Benioff's own ~4,000 support-role cuts show AI reducing headcount; if customers follow, per-seat licensing (the core revenue base) could erode faster than consumption revenue replaces it. The market has repeatedly refused to reward earnings beats on fears that 'software may not survive AI.'
NEXT CATALYST	Next earnings report: 2026-09-02

BUSINESS OVERVIEW

IN ONE SENTENCE

The #1 CRM software company, evolving its multi-cloud Customer 360 suite into an AI 'digital labor' platform (Agentforce + Data 360).

PLAIN ENGLISH

What it does, who pays

- Salesforce makes the software companies use to track customers: every contact, deal, and support ticket in one place.
- It charges a per-seat subscription, so revenue is recurring and predictable.
- Almost every large company already uses it, which makes it hard to rip out.
- The new bet is Agentforce: AI agents that handle sales and service work themselves.

THE TECHNICAL VERSION

How it actually works

- Multi-tenant SaaS: all customers run on one shared codebase and metadata layer.
- Five clouds (Sales, Service, Marketing, Commerce, Platform) cross-sold onto one customer record.
- Data 360 unifies customer data; Agentforce sells AI agents priced per conversation, not per seat.
- ~34.8% non-GAAP operating margin and a large buyback fund the AI build-out.

EXPLAINED SIMPLY

The analogy

- Think of Salesforce as the giant filing cabinet and switchboard for a company's customer relationships.
- Now it's adding robot assistants (Agentforce) that answer customers and update the files on their own.
- The question: do the robots make the cabinet more valuable, or replace the people who paid for desks at it?.

- (NYSE: CRM) is the world's largest customer-relationship-management (CRM) software company and the pioneer of cloud-delivered enterprise SaaS. Founded in 1999, it began as a sales-force-automation tool that proved business software could be delivered over the internet on a subscription, and has since expanded into a multi-cloud enterprise application suite, its 'Customer 360' / 'Data 360' platform, spanning sales, service, marketing, commerce, analytics, integration and collaboration.
- It generated record FY2026 revenue of ~\$41.5B (year ended Jan 31, 2026) at a 34.1% non-GAAP operating margin, and is ranked #1 in CRM applications by worldwide market share (IDC). Salesforce serves ~150,000+ customers across every industry and size, from small businesses to the bulk of the Fortune 500.
- Go-to-market combines a large direct enterprise sales force, a deep partner ecosystem (system integrators, ISVs, consulting partners), and the AppExchange marketplace.
- The model is land-and-expand: customers typically start in one cloud and add more over time, driving multi-cloud cross-sell.
- Ramp card-spend data corroborates the dominance, Salesforce captures ~70.7% of all CRM category spend across 50k+ businesses (rank #1). Current strategy centers on AI 'digital labor.' Agentforce lets enterprises deploy autonomous AI agents for service, sales and other workflows, grounded by Data 360 (formerly Data Cloud), which unifies enterprise data so agents act on trusted, governed context.
- Management positions Agentforce + Data 360 as the fastest-growing products in company history, combined ARR reached ~\$3.4B (+200%+ YoY) by Q1 FY2027, with Agentforce alone at \$1.2B (+205% YoY).

How the business works, left to right: who buys, what the platform provides, and the payoff.



SOURCES: SALESFORCE Q4 FY2026 RESULTS (IR) · SALESFORCE — WHAT IS CUSTOMER 360 · RAMP DATA — CRM CATEGORY SHARE & ADOPTION

EXECUTIVE LEADERSHIP

CHAIR OF THE BOARD & CHIEF EXECUTIVE OFFICER (CO-FOUNDER)

Marc Benioff

Co-founded Salesforce in 1999; pioneer of cloud SaaS.

PRESIDENT & CHIEF OPERATING AND FINANCIAL OFFICER

Robin Washington

Appointed Feb 2025; former Gilead CFO. Also principal accounting officer as of March 2026.

PRESIDENT & CHIEF ENGINEERING AND CUSTOMER SUCCESS OFFICER

Srinivas (Srini) Tallapragada

Leads engineering and customer success.

PRESIDENT & CHIEF STRATEGY OFFICER

David Schmaier

Former Chief Product Officer; founder of Vlocity (acquired by Salesforce).

PRODUCT & REVENUE MODEL

- Salesforce's architecture is a unified, multi-tenant cloud platform on which all applications share one metadata and data foundation.
- The core 'clouds' include Sales Cloud and Service Cloud (its two largest), Marketing and Commerce Cloud, the Platform (custom development, automation and Slack for collaboration), Data 360 (its customer-data platform), Tableau (analytics, 2019), MuleSoft (integration/APIs, 2018), Informatica (data management, 2025) and Agentforce (the agentic-AI layer). Slack (acquired for ~\$27.7B in 2021) serves as the conversational front-end and 'agent operating system' for surfacing Agentforce inside the flow of work.
- The revenue model is overwhelmingly recurring subscription & support (~95% of revenue), per-seat term licenses billed annually in advance, which produces high visibility (reflected in RPO of \$67.9B and cRPO of \$33.6B, +14% YoY) and >90% subscription gross margins.

- With Agentforce, Salesforce is layering a consumption (usage-based) motion on top of seats: after initially pricing at ~\$2 per conversation, it moved in May 2025 to 'Flex Credits,' where each Agentforce action consumes ~\$0.10 of credits, sold in packs with pay-as-you-go and pre-commit options.
- This seat-plus-consumption hybrid is the central business-model evolution: as AI agents do more 'work,' Salesforce monetizes actions/outcomes rather than only human seats, expanding addressable spend beyond headcount, but introducing lumpier, less predictable consumption revenue.
- As of Q1 FY2027 Salesforce also revised its disclosure to two subscription buckets, Agentforce Apps (\$6.91B, 65% of subscription revenue, +9% YoY) and Data 360, Headless Platform & Other (\$3.68B, 35%, +25% YoY), retiring the old per-cloud splits.
- The ecosystem (AppExchange, system integrators, the Trailblazer developer community) extends the platform and is a major source of stickiness, increasingly important for rolling out Agentforce at enterprise scale.

SOURCES: [SALESFORCE — CUSTOMER 360 PRODUCT OVERVIEW](#) ·
[SALESFORCE — FLEXIBLE AGENTFORCE PRICING \(FLEX CREDITS\)](#) ·
[SEC EDGAR — SALESFORCE 10-Q \(Q1 FY2027 REVENUE DISAGGREGATION\)](#)

RECENT NEWS

2026-05-27

Salesforce posts record Q1 FY27: revenue \$11.13B (+13%), Agentforce ARR \$1.2B (+205%), \$25B accelerated buyback

SOURCE: [SALESFORCE](#)

Combined Agentforce + Data 360 ARR ~\$3.4B (+200%+ YoY) validates the AI-monetization thesis, while a \$25B ASR shrinks the share count as core growth normalizes toward ~11%.

2026-02-25

Record Q4 FY26; \$50B buyback authorization (largest ever) and FY27 revenue guide \$45.8-46.2B

SOURCE: [SALESFORCE](#)

The \$50B repurchase program (anchored by a \$25B ASR) plus a 5.8% dividend increase mark a decisive capital-return pivot; FY27 guide of +10-11% and RPO \$72.4B (+14%) frame the durable-growth case for the multiple.

2025-12-03

Record Q3 FY26; FY26 guide raised, Agentforce + Data 360 ARR near \$1.4B (+114% YoY)

SOURCE: [SALESFORCE](#)

Revenue \$10.3B (+9%) at 35.5% non-GAAP op margin with FCF +22% kept the margin/cash story intact while triple-digit AI-product ARR growth gave the first hard proof Agentforce converts to recurring revenue.

2025-11-18

Salesforce completes ~\$8B acquisition of Informatica

SOURCE: [SALESFORCE](#)

Bolts enterprise data integration, governance and MDM onto the platform, the data backbone Agentforce needs, adding ~\$1.1B Informatica Cloud ARR; its largest deal since Slack.

2025-10-14	Salesforce expands partnerships with OpenAI and Anthropic; Agentforce coming to ChatGPT SOURCE: CNBC Embedding Agentforce 360 into ChatGPT and naming Claude a preferred model for regulated industries widens distribution and de-risks the model layer, positioning Salesforce as an AI orchestrator rather than a single-LLM bet.
2025-10-13	Agentforce 360 launches at Dreamforce 2025; Salesforce declares the 'Agentic Enterprise' SOURCE: TECHCRUNCH The rebranded flagship (Agentforce Builder, Agent Script, Voice, Intelligent Context) with 12,000 customers is the centerpiece of the AI re-rating narrative; proof points like Reddit deflecting 46% of support cases anchor the enterprise-ROI pitch.
2025-09-02	Benioff confirms ~4,000 customer-support layoffs as Agentforce reduces headcount needs SOURCE: CNBC Cutting support staff from ~9,000 to ~5,000 ('I need less heads') is both a margin tailwind and the clearest public demonstration of Salesforce eating its own AI, while raising the execution/optics risk of automating a core customer-facing function.
2025-05-27	Salesforce signs definitive agreement to acquire Informatica for ~\$8B equity value SOURCE: SALESFORCE Kicked off Salesforce's return to large-scale M&A after a buyback-focused, activist-pressured stretch, signaling management again sees data infrastructure as strategic enough to spend on rather than only return cash.

FINANCIALS & KEY METRICS

Reporting period: Q1 FY2027 (ended April 30, 2026); reported 2026-05-27. Each metric is tagged with the period it covers; LTM and as-of figures are labeled individually.

REVENUE \$11.13B Q1 FY27	SUBSCRIPTION SUPPORT \$10.59B Q1 FY27	NON GAAP OP MARGIN 34.8% Q1 FY27	NON GAAP DILUTED EPS \$3.88 Q1 FY27
FREE CASH FLOW \$6.6B Q1 FY27	AGENT AND AI ARR Agentforce ARR \$1.2B +205% YoY Q1 FY27	REMAINING PERF OBLIGATION cRPO \$33.6B +14% YoY AS OF APR 30, 2026	EV REVENUE 4.2x LTM

GUIDANCE

Revenue **\$45.9-46.2B**

FY2027 guide

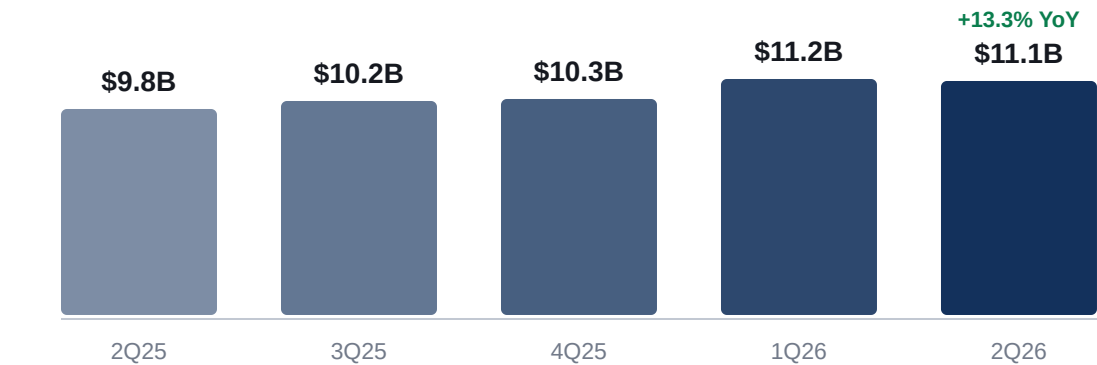
FY2027 GUIDANCE

CAPITAL RETURN

\$50B

buyback authorization; ~\$24.9B repurchased in Q1 FY27; dividend \$0.44/qtr

QUARTERLY REVENUE (\$B)



LAST 5 QUARTERS

	2Q25	3Q25	4Q25	1Q26	2Q26
REVENUE	\$9.8B	\$10.2B	\$10.3B	\$11.2B	\$11.1B
YOY					+13.3%
QOQ		+4.1%	+0.2%	+9.2%	-0.6%
GROSS MARGIN	77.0%	78.1%	78.0%	77.6%	76.9%

SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (2Q26): 13.3% YoY revenue growth.

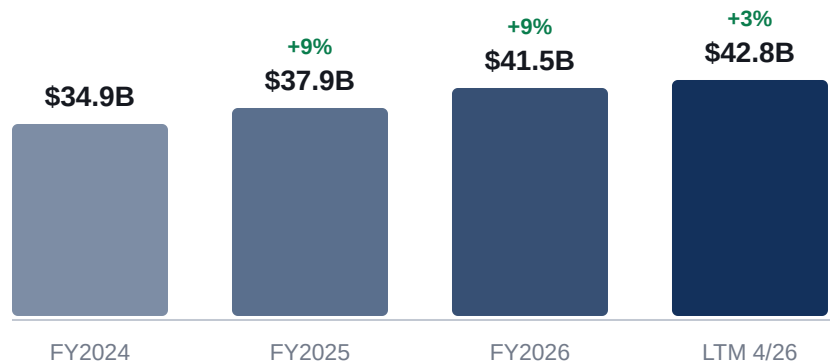
- AI / Product:** Agentforce ARR crossed \$1.2B, up 205% YoY, the fastest-scaling product line in company history and the centerpiece of the AI re-acceleration story. Combined Agentforce + Data 360 ARR reached ~\$3.4B (+200%+ YoY), including ~\$1.1B Informatica Cloud ARR. Bookings from premium SKUs (Agentforce One Edition, Agentforce for Apps) grew ~60% YoY. Usage signals underscored real consumption: 28.6T tokens processed (+152% QoQ) converted into 3.8B Agentic Work Units across Agentforce and Slack (+111% QoQ). Critically for durability, over 50% of Agentforce + Data 360 bookings came from existing customers expanding deployments, land-and-expand at higher consumption tiers rather than promotional land deals.
- Demand:** Demand was framed as healthy and broadening. A record 98 deals over \$1M new ACV closed in Q1, with Slack reportedly ~half of the \$1M+ wins. cRPO of \$33.6B (+14% YoY) outpaced reported revenue growth (+13%), a constructive forward-demand signal, and >50% of Agentforce + Data 360 bookings were existing-customer expansions.

SOURCES: SALESFORCE INVESTOR RELATIONS — Q1 FY2027 PRESS RELEASE ·
SEC EDGAR — SALESFORCE 10-Q (Q1 FY2027, PERIOD ENDED APR 30, 2026) ·
SEC EDGAR — SALESFORCE 8-K EXHIBIT 99.1 (Q1 FY2027 EARNINGS RELEASE) ·

SEEKING ALPHA — CRM Q1 FY2027 EARNINGS CALL TRANSCRIPT

REVENUE TRAJECTORY

ANNUAL REVENUE (\$B)



SOURCES: Salesforce FY2025 10-K (prior-year comparative) · Salesforce FY2025 10-K · Salesforce Q4 FY2026 results · yfinance / Yahoo Finance (LTM through Apr 30, 2026)

KEY RISKS & DEBATES

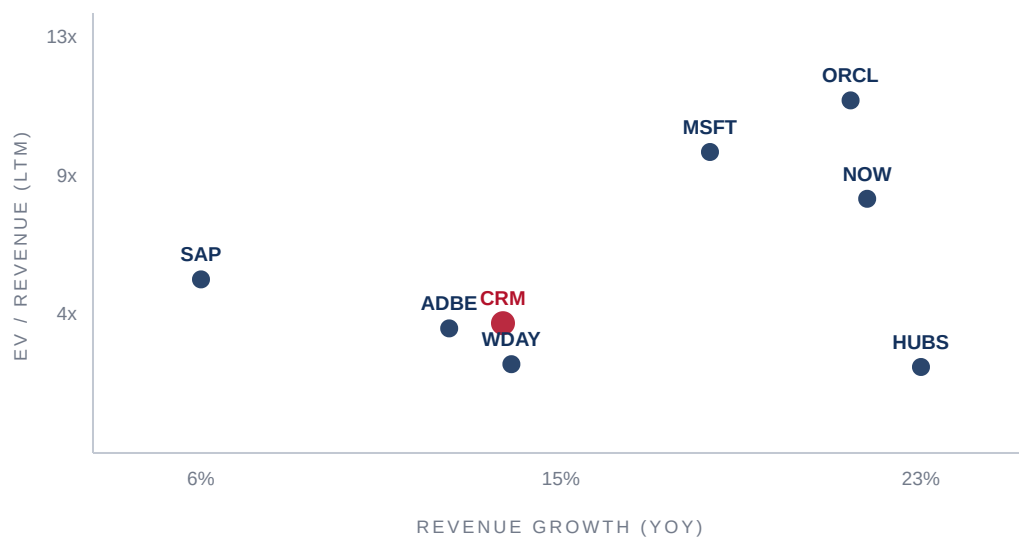
- ! AI dis-intermediation of the seat model, Benioff's own ~4,000 support-role cuts show AI reducing headcount; if customers follow, per-seat licensing (the core revenue base) could erode faster than consumption revenue replaces it. The market has repeatedly refused to reward earnings beats on fears that 'software may not survive AI.'
- ! Decelerated growth, total revenue grew ~13% in Q1 FY27 and FY27 guidance implies ~11%; Salesforce now sits in the low-growth tier of its comp set, closer to SAP (6%) and Adobe (12%) than to ServiceNow (22%), HubSpot (23%) or Oracle (22%), pressuring the case for multiple expansion.
- ! Share erosion at the edges, Ramp data shows CRM category adoption -1.2% YoY and a ~43% competitor switch rate; HubSpot (mid-market), Microsoft Dynamics/Copilot and ServiceNow are all encroaching on different parts of the footprint.
- ! Agentforce monetization is early and lumpy, the shift to consumption (Flex Credits) trades predictable seat revenue for usage-based revenue that is harder to forecast, and the ~\$3.4B AI/Data ARR is a disclosed metric, not yet a clean P&L line.
- ! Disclosure gaps, Salesforce does not disclose NRR/attrition, and it retired its per-cloud revenue splits as of Q1 FY27, reducing underwriting visibility during the most important transition in years.
- ! M&A integration & capital-allocation optics, back-to-back large deals (Informatica ~\$8B, Slack ~\$27.7B) alongside a \$50B buyback carry integration risk and the optics of repurchasing stock while automating staff.

SOURCES: CNBC — SALESFORCE'S BEAT FAILS TO CONVINCE MARKET SOFTWARE CAN SURVIVE AI ·
CNBC — BENIOFF CONFIRMS ~4,000 LAYOFFS AS AI CUTS HEADCOUNT · RAMP DATA — CRM CATEGORY ADOPTION TREND

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	MKT CAP	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	FCF MARGIN LTM	RULE OF 40 growth + FCF
Salesforce subject; largest pure-play CRM, mid-30s% non-GAAP op margin, \$50B buyback authorization	CRM	Subject	\$149.5B	4.2x	13.3%	77.6%	38.6%	52
Oracle Enterprise apps + OCI cloud; re-rated on AI/cloud capacity demand	ORCL	Peer	\$609.2B	11.4x	21.7%	67.1%	-34.8%	-13
Microsoft Dynamics 365 + Copilot agents; the agent competitor carrying a far richer multiple	MSFT	Peer	\$3.1T	9.8x	18.3%	68.3%	11.6%	30
ServiceNow AI 'control tower' for enterprise workflows; the premium-multiple AI compounder CRM is measured against	NOW	Peer	\$117.8B	8.2x	22.1%	76.6%	36.6%	59
SAP Enterprise apps incumbent; the low-growth large-cap suite comp	SAP	Peer	\$212.4B	5.6x	6.0%	73.7%	21.8%	28
Adobe Creative/marketing software; closest multiple comp to CRM	ADBE	Peer	\$99.0B	4.0x	12.0%	89.4%	38.1%	50
Workday HR/Finance SaaS; similar growth profile, cheaper, narrower TAM	WDAY	Peer	\$28.9B	2.9x	13.5%	75.8%	31.6%	45
HubSpot Mid-market CRM challenger; the downstream share-taker	HUBS	Peer	\$10.7B	2.8x	23.4%	83.7%	19.9%	43
Peer median EX-SUBJECT				5.6x	18.3%	75.8%	21.8%	43

GROWTH VS MULTIPLE



SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-06-08 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY), Gross Margin, and FCF Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above. Rule of 40 = revenue growth + FCF margin. **Salesforce trades at 4.2x vs a 5.6x peer median — a 25% discount to the median.**

SWOT ANALYSIS

How Salesforce stands out: Salesforce screens as the value name in large-cap software: the cheapest EV/Revenue in its megacap peer set (see live comps table) and ~12x forward earnings vs ServiceNow, Oracle and Microsoft at premium multiples. The whole debate is whether Agentforce re-accelerates growth before AI compresses the per-seat model.

STRENGTHS

INTERNAL EDGE

- **Category dominance & installed base:** ~150k customers and 70.7% of all CRM card-spend across 50k+ businesses (Ramp Data, rank #1), an unmatched cross-sell surface for Agentforce.
- **Best-in-class profitability & FCF:** 34.8% non-GAAP operating margin and \$6.6B quarterly free cash flow (Q1 FY27), among the highest absolute FCF in software, funding a \$50B buyback.
- **Value multiple with optionality:** Trades at a clear EV/Rev discount to NOW, ORCL and MSFT (live multiples in the comps table) and ~12x forward P/E for a profitable, 13%-growth megacap.

WEAKNESSES

INTERNAL GAP

- **Decelerated core growth:** 13% YoY vs NOW (22%), HUBS (23%), ORCL (22%), Salesforce sits in the low-growth tier of its comp set, nearer SAP (6%) and ADBE (12%) than the AI compounders.
- **Slipping share at the margin:** CRM category adoption -1.2% YoY and a ~43% competitor switch rate (Ramp Data), share is being nibbled by HubSpot, Microsoft and ServiceNow.
- **Disclosure opacity:** No NRR/attrition disclosure and a revamped revenue taxonomy (per-cloud splits dropped in Q1 FY27) make the Agentforce transition harder to underwrite.

OPPORTUNITIES

EXTERNAL UPSIDE

- **Agentforce monetization:** \$1.2B ARR (+205% YoY) plus a consumption (Flex Credits) motion that monetizes AI 'actions' beyond seats, the key to re-rating toward peer multiples.
- **Data 360 + Informatica:** ~\$3.4B combined AI/data ARR; the unified data backbone deepens the moat and raises switching costs for agents.
- **Capital return as EPS lever:** \$50B buyback / \$25B ASR shrinks the share count into a normalizing-growth period, supporting double-digit EPS growth on single-digit-to-low-teens revenue growth.

THREATS

EXTERNAL RISK

- **AI compresses the seat model:** The core bear case, if AI cuts customer headcount, per-seat licensing erodes faster than Agentforce consumption fills the gap.
- **Agent competition:** Microsoft Copilot agents, ServiceNow, Sierra and the foundation-model players (OpenAI, Anthropic) all target the same enterprise agent budget.
- **Lower visibility premium:** Lumpier consumption revenue reduces the forecastability that historically supported Salesforce's multiple.

SOURCES: SALESFORCE Q1 FY2027 RESULTS (IR) · YFINANCE / YAHOO FINANCE — LIVE COMPS (2026-06-05 CLOSE) · RAMP DATA — CRM CATEGORY SHARE & ADOPTION

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-06-02 · period 2026-05-27	View on EDGAR ›
8-K	filed 2026-06-01 · period 2026-05-28	View on EDGAR ›
10-Q	filed 2026-05-28 · period 2026-04-30	View on EDGAR ›
10-K	filed 2026-03-02 · period 2026-01-31	View on EDGAR ›
10-Q	filed 2025-12-04 · period 2025-10-31	View on EDGAR ›

10-K filed 2025-03-05 · period 2025-01-31

[View on EDGAR ›](#)

SOURCE: SEC EDGAR · CIK 0001108524 · primary filings of record.

SLIDE-READY BULLETS

- 1** Value multiple in megacap software: the lowest EV/Rev multiple in megacap software (live multiple in the comps table) and ~12x forward P/E (2026-06-05 close) vs ServiceNow 8.1x, Oracle 11.5x, Microsoft 9.9x, the market is pricing CRM for sub-trend growth, not AI re-acceleration.
- 2** Q1 FY27 (ended Apr 30, 2026): revenue \$11.13B (+13% YoY), non-GAAP operating margin 34.8% (+250 bps), non-GAAP EPS \$3.88 (+50%), free cash flow \$6.6B, a beat-and-raise on profitability.
- 3** Agentforce ARR \$1.2B (+205% YoY); combined Agentforce + Data 360 ARR ~\$3.4B (+200%+, incl. ~\$1.1B Informatica), the fastest-scaling product line in company history.
- 4** Capital return at scale: \$50B buyback authorization, ~\$24.9B repurchased in Q1 (incl. a \$25B ASR); cRPO \$33.6B (+14%) outpaces revenue, a constructive forward-demand signal.
- 5** Demand vs risk: 70.7% of CRM category card-spend and rank #1 adoption (Ramp Data), but adoption -1.2% YoY and ~13% growth (vs 20%+ AI peers) frame the 'can software survive AI' debate.

SMART DILIGENCE QUESTIONS

- Q1** What are net revenue retention and gross attrition doing inside the installed base, Salesforce no longer discloses NRR, and Ramp data shows CRM category adoption down 1.2% YoY with a ~43% switch rate?
- Q2** How much of the ~\$3.4B Agentforce + Data 360 ARR is net-new incremental spend versus repricing/rebundling of existing seat revenue, and what is the gross-margin profile of consumption (Flex Credits) revenue vs. subscription?
- Q3** What organic, ex-Informatica, constant-currency subscription growth is embedded in the 2H FY27 'acceleration' guide, and what Agentforce attach/expansion rate is required to hit it?

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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ATLAS